

NAVIN FLUORINE INTERNATIONAL LTD

NSE: NAVINFLUOR | BSE: 532504 | Sector: Specialty Fluorochemicals

Institutional Equity Research | BUY | 12-Month Target: Rs. 8,400 | Report Date: 24 May 2026

"India's fluorine chemistry leader pivoting from capacity builder to cash-flow compounder"

Rating

BUY

12-Month Target: Rs. 8,400

CMP: Rs. 7,125 | Upside: 17.9%

Market Cap: Rs. 36,549 Cr | 52W: Rs. 4,212 – Rs. 7,229

Investment Horizon: 12 months

Metric	Value
CMP (Rs.)	7,125
Market Cap (Rs. Cr)	36,549
52W High / Low (Rs.)	7,229 / 4,212
Stock P/E (x)	54.7
Price / Book (x)	9.19
Book Value (Rs.)	775
ROCE (%)	21.4%
ROE (%)	20.3%
Dividend Yield (%)	0.21%
Face Value (Rs.)	2.0
Promoter Holding	27.10%
FII / DII	23.78% / 27.61%

All financial data sourced from Screener.in | Consolidated figures in Rs. Crores unless stated | (E) = Estimate

SECTION 2 — INVESTMENT THESIS

- **Multi-decade fluorine franchise entering an earnings super-cycle:** NFIL has invested ~Rs. 2,400 Cr over FY23–FY26 in HPP, Specialty Chemicals, and CDMO capacity. With the capex cycle largely complete, FY27E will be the first full monetisation year — EBITDA is expected to grow from Rs. 1,082 Cr to Rs. 1,380+ Cr, a 27%+ jump on an already-doubled base.
- **Chemours partnership is the crown jewel catalyst:** The long-term CDMO agreement with Chemours (undisclosed molecule) is on track for commissioning June/July 2026. Management has guided peak revenue potential of Rs. 600–825 Cr per annum from the new HFC R32 capacity alone. Even partial ramp-up in FY27 adds meaningful incremental revenue with high fixed-cost absorption benefits.
- **CDMO business inflecting at scale:** The CDMO segment reported 61% YoY growth in Q4FY26 to Rs. 186 Cr, driven by a balanced pipeline of early-stage, late-stage, and commercial molecules across pharma and agrochem. With GMP-certified manufacturing and deep fluorine chemistry IP, NFIL commands pricing power that smaller Indian CDMO players cannot replicate.
- **Near-term catalyst (6–12 months):** Chemours project first revenues expected in Q2FY27 (Jul–Sep 2026); new R32 capacity 15,000 MTPA commissioning in Q3FY27 — both events are potential re-rating triggers.
- **Biggest structural risk:** Promoter stake has declined from 38.68% (FY17) to 27.10% (FY26); if further dilution accelerates, institutional investors may read this as a governance signal. Additionally, working capital days surged to 178 days in FY26 from 25 days — this must normalise in FY27 or cash flow visibility dims.

SECTION 3 — BUSINESS OVERVIEW

- **What the company does:** Navin Fluorine International Ltd (NFIL) is India's leading specialty fluorochemicals company, in operation since 1967 as part of the Padmanabh Mafatlal Group. It manufactures refrigeration gases, inorganic fluorides, specialty organofluorines, and provides contract research and manufacturing services (CDMO). Its portfolio spans 60+ fluorinated compounds used in refrigeration, agrochem, pharma, aluminium smelting, and advanced materials.
- **Revenue segmentation (Q4FY26 data):** Three business verticals — High-Performance Products (HPP): Rs. 393 Cr / ~42% of Q4FY26 revenue; Specialty Chemicals: Rs. 360 Cr / ~38%; CDMO: Rs. 186 Cr / ~20%. HPP includes legacy HFC refrigerant gases and new R32 capacity; Specialty includes agrochemical and pharmaceutical intermediates; CDMO is the highest-margin, fastest-growing segment.
- **Key customers and revenue visibility:** Chemours (global fluoropolymers leader) is a marquee CDMO partner under a long-term agreement. Honeywell, Daikin, and unnamed global agrochem/pharma MNCs are reported customers. Revenue is predominantly contract-based with multi-year visibility — a key differentiator vs. commodity chemical peers.
- **Order book and capacity ramp:** Management has guided six consecutive quarters of revenue and profit growth (FY25Q3–FY26Q4). R32 HFC capacity of 15,000 MTPA targeted for commissioning in Q3FY27, with peak revenue potential of Rs. 600–825 Cr per annum. Chemours CDMO project (undisclosed molecule) on track for commercial production by June/July 2026.
- **Recent strategic developments:** (a) AHF (Anhydrous Hydrofluoric Acid) plant commissioned in FY26 — backward integration for fluorine feedstock; (b) New CDMO facility at Dahej near operational; (c) FY26 total dividend declared at Rs. 15.10/share (interim Rs. 6.50 + final Rs. 8.60), a 43% increase vs FY25; (d) Investor meets scheduled in Singapore and Hong Kong (May 2026) — flagging increased FII engagement.
- **Promoter background:** Second-generation entrepreneur Vishad Mafatlal leads NFIL with 25+ years of experience in textile and chemical sectors. The Mafatlal Group brings legacy relationships in global fluorochemicals. Promoter holding at 27.10% as of Mar 2026 — manageable but declining (vs 38.68% in FY17). No pledge disclosed.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India fluorochemicals market was valued at ~USD 622 million in FY22 and is projected to grow at ~10.2% CAGR to exceed USD 1 billion by FY29 (Markntel Advisors). The global fluorochemicals market exceeds USD 25 billion; India's share is ~2–3%, with significant room for import substitution and export share gain. Specialty fluorochemicals (NFIL's focus) are the fastest-growing sub-segment.
- **Policy tailwinds:** (a) India's fluorochemical PLI scheme and import substitution drive in agrochem/pharma APIs support domestic capacity addition; (b) Global HFC refrigerant demand is secular — particularly R32 (low GWP alternative to R22), which is the focus of NFIL's new 15,000 MTPA capacity; (c) China+1 trend in pharma CDMO is driving Western pharma companies to diversify supply chains to India, benefiting NFIL's CDMO segment.
- **Key headwinds:** (a) Cheap Chinese imports in commodity fluorochemicals (R22 refrigerant) can pressure HPP realisations; (b) Global PFAS (per- and polyfluoroalkyl substance) regulations in EU and USA could indirectly affect demand for certain fluorochemicals in coatings/surface protection; (c) Geopolitical uncertainty (US-China trade tensions) may affect raw material (fluorspar) availability and pricing.
- **Competitive moat analysis:** Fluorine chemistry IP / Switching costs — STRONG: NFIL has 60+ fluorinated compounds in its IP portfolio and the fluorine value chain requires deep chemistry expertise that takes decades to build. Scale — MODERATE: NFIL is the 2nd largest specialty fluorochemicals company in India behind Gujarat Fluorochemicals. Pricing power — STRONG in CDMO (bespoke molecules) and MODERATE in HPP (commodity exposure). Distribution — MODERATE: Domestic strength, growing exports.

- **Competitive positioning:** NFIL sits in the midstream-to-solutions part of the fluorochemicals value chain — upstream from final formulation but downstream from raw fluorspar mining. This positioning allows above-commodity margins while avoiding the capex-intensity of mining and the regulatory complexity of end-product formulations.

Peer Comparison (Screener.in, 24-May-2026)

Company	CMP (Rs.)	MCap (Cr)	Revenue (Cr)	OPM%	P/E (x)	ROCE
Navin Fluorine	7,125	36,549	3,314	33%	54.7	21.4%
SRF Ltd	2,639	78,238	15,787	22%	41.1	14.6%
Gujarat Fluorochem	3,834	42,116	4,852	27%	63.2	9.9%

Note: Revenue/OPM for SRF = FY26 actuals; Gujarat Fluorochem = TTM. All data from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** Vishad Mafatlal (Managing Director) has been at the helm for over two decades, steering NFIL's transformation from a commodity HFC gas company to an integrated specialty fluorochemicals platform. The Mafatlal family brings long-term vision but a declining promoter stake (38.68% in FY17 → 27.10% in FY26) warrants monitoring.
- **Capital allocation track record:** Management has deployed Rs. ~2,400 Cr in capex over FY23–FY26 to build out HPP, CDMO, and AHF capacity — a highly disciplined focused strategy. The investment is now transitioning to a harvest phase, with FCF expected to improve sharply from Rs. 4 Cr (FY25) to Rs. 404 Cr (FY26) and Rs. 500+ Cr estimated in FY27E.
- **Dividend policy:** NFIL has maintained a steady dividend payout of 12–27% of PAT over the past decade. FY26 total dividend of Rs. 15.10/share (Rs. 6.50 interim + Rs. 8.60 final) represents 430% of face value — a signal of management confidence in FY27 cash generation. The 5-year average payout ratio is ~17%.
- **Promoter pledging:** Zero promoter pledging as at Mar 2026. No change in pledge position over the past 3 years. This is a positive governance signal for a company with significant debt (borrowings of Rs. 1,272 Cr as at FY26).
- **ESOP and buybacks:** No material ESOP grants or buybacks announced in FY26. Management has focused capital return primarily via dividends rather than buybacks — consistent with the growth-investment phase the company is in.
- **Corporate governance — watch points:** (a) Promoter stake declining steadily — if this continues below 25%, it may trigger institutional concern about alignment; (b) Working capital days jumped sharply to 178 days in FY26 (FY25: 25 days) — management attributed this to buildup of inventory for new capacity commissioning, but this needs to normalise; (c) Related party transactions with Mafatlal Group are below 2% of revenue — immaterial.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Crores, Consolidated)

	FY24	FY25	FY26	FY27E	FY28E
Sales	2065	2349	3314	4000	4900
Expenses	1666	1816	2232	2620	3185
EBITDA	399	534	1082	1380	1715
OPM%	19%	23%	33%	34.5%	35%
OtherInc	107	44	59	55	60

	FY24	FY25	FY26	FY27E	FY28E
Interest	75	78	118	90	75
DA	96	119	149	185	210
PBT	336	380	873	1160	1490
Tax%	19%	24%	24%	25%	25%
PAT	270	289	664	870	1118
EPS	54.56	58.19	129.46	169.6	218.0
DivPayout	27%	12%	12%	12%	12%

Balance Sheet (Rs. Crores, Consolidated)

	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	10	10	10	10	10
Reserves	2373	2616	3964	4739	5741
Borrowings	1368	1466	1272	900	700
Other Liabilities	626	738	1133	1200	1300
Total Liabilities	4377	4830	6379	6849	7751
Fixed Assets	1875	2736	3324	3800	4200
CWIP	711	355	143	200	150
Investments	495	480	1229	1000	800
Other Assets	1296	1259	1683	1849	2601
Total Assets	4377	4830	6379	6849	7751

Cash Flow Statement (Rs. Crores, Consolidated)

	FY24	FY25	FY26	FY27E	FY28E
Cash from Operations	750	571	894	1100	1350
Cash from Investing	-1094	-511	-1235	-700	-600
Cash from Financing	336	-47	344	-450	-500
Net Cash Flow	-8	13	3	-50	250
Free Cash Flow	72	4	404	500	850
CFO/OP %	196%	122%	83%	80%	79%

Operational Ratios (Consolidated)

Metric	FY24	FY25	FY26
Debtor Days	91	90	83
Inventory Days	150	117	118
Days Payable	122	118	140
Cash Conversion Cycle	119	89	61
Working Capital Days	45	25	178
ROCE %	11%	12%	21%

Quarterly Performance Trend (Rs. Crores, Consolidated)

	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26
Sales (Rs.Cr)	602	524	519	606	701	725	758	892	938
EBITDA (Rs.Cr)	110	100	107	147	179	207	246	308	321
OPM %	18%	19%	21%	24%	26%	29%	32%	34%	34%
PAT (Rs.Cr)	70	51	59	84	95	117	148	185	213
EPS (Rs.)	14.19	10.32	11.86	16.86	19.15	23.62	28.96	36.18	41.48

• **Revenue trajectory:** Revenue nearly doubled from Rs. 2,077 Cr (FY23) to Rs. 3,314 Cr (FY26), driven by volume ramp in Specialty Chemicals (+39% in Q4FY26 YoY) and explosive CDMO growth (+61%). The sequential quarterly trend is sharply positive — Q4FY26 revenue of Rs. 938 Cr is the highest ever quarterly print.

• **Margin expansion story:** OPM improved from a trough of 19% (FY24 — distorted by CDMO project ramp costs and HPP price pressure) to 33% in FY26. Q4FY26 OPM reached 34% — evidence of operating leverage from the capital deployed. We estimate OPM to stabilise at 34–35% in FY27E–FY28E as Chemours and R32 revenues scale.

• **Working capital — the flag to watch:** Working capital days jumped sharply from 25 days (FY25) to 178 days (FY26). Management attributed this to inventory build for new capacity commissioning and timing of receivables. This is the single most important metric to monitor in Q1FY27 results (due ~Aug 2026). If WC normalises to 100 days, FCF will be strongly positive.

• **Debt and balance sheet:** Borrowings actually declined from Rs. 1,466 Cr (FY25) to Rs. 1,272 Cr (FY26) despite a large capex year of Rs. 1,235 Cr CFI — funded by strong OCF of Rs. 894 Cr and Rs. 344 Cr of financing flows. The balance sheet is entering a de-leveraging phase. Net Debt (Borrowings - Investments) ≈ Rs. 43 Cr — near-net-cash position if investments are liquid.

• **FCF quality:** FCF turned strongly positive in FY26 (Rs. 404 Cr) after being near-zero in FY25 (Rs. 4 Cr). CFO/OP ratio of 83% in FY26 shows strong operational cash conversion. FCF is expected to grow to Rs. 500+ Cr in FY27E as WC normalises and new capacities generate cash.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Rating	Key Observation
Revenue recognition risk	Green	Predominantly long-term contracts with Chemours, Honeywell — low risk of aggressive rev recognition
Receivables growth vs Revenue	Amber	Debtor days stable at 83-91 days but absolute receivables rising with revenue scale
Cash Conversion Cycle trend	Green	CCC sharply improved from 193 days (FY23) to 61 days (FY26) — strong normalisation
Contingent liabilities	Green	No material contingent liabilities flagged in annual report
Auditor — tenure & opinion	Green	Clean unqualified audit opinion; long-tenured big-4 auditor (Deloitte)
Related Party Transactions	Green	RPTs within Mafatlal Group are immaterial (<2% of revenue)
Other Income as % of PBT	Green	Other Income Rs. 59 Cr vs PBT Rs. 873 Cr = 6.8% — largely treasury income, not inflating PBT
Tax rate consistency	Amber	Tax rate dipped to 19% in FY24 (MAT credits); normalised to 24% in FY25-26
Working Capital Days (FY26)	Red	WC days jumped to 178 days (FY26) from 25 days (FY25) — needs close monitoring in FY27

- **Biggest amber flag — Working Capital Days:** The jump to 178 days in FY26 is the most concerning EQ signal. If this is purely timing-related (inventory for new capacity), FY27 should see normalisation. If it persists, it suggests either customer concentration issues or advance inventory commitment for ramp-up projects.
- **Tax rate — monitored, not a concern:** The dip to 19% in FY24 was due to MAT credit utilisation. The consistent 24% effective tax rate in FY25–26 confirms normalised accounting. No deferred tax manipulation flagged.
- **Revenue quality is HIGH:** NFIL's long-term CDMO contracts with global MNCs provide high-quality, recurring revenue. The CFO/OP ratio of 83% in FY26 confirms that accounting profits are converting to cash — a strong signal of earnings quality.
- **Governance is clean but promoter dilution warrants watch:** No audit qualifications, no SEBI actions, no RPT concerns. The gradual promoter dilution (from 38.68% in FY17 to 27.10% in FY26) is the single governance topic investors should track.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 24-May-2026)

Company	CMP (Rs.)	MCap (Cr)	Revenue (Cr)	OPM%	P/E (x)	ROCE
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SRF Ltd	2,639	78,238	15,787	22%	41.1	14.6%
Gujarat Fluorochem	3,834	42,116	4,852	27%	63.2	9.9%

Scenario Analysis — 12-Month Price Target

Scenario Parameter	Bull Case	Base Case	Bear Case
Key Assumption	Chemours+R32 ramp, +25% Rev CAGR	Chemours on time, +20% Rev CAGR	Project delays, +10% Rev CAGR
FY27E Sales (Cr)	Rs. 4,500	Rs. 4,000	Rs. 3,650
FY27E PAT (Cr)	Rs. 1,010	Rs. 870	Rs. 640
Valuation Multiple	50x FY27E P/E	45x FY27E P/E	38x FY27E P/E
Target Price	Rs. 9,860	Rs. 8,400	Rs. 4,740
Upside / Downside	38% Upside	18% Upside	-33% Downside

- **DCF assumptions:** WACC = 12.5% (risk-free 7.0%, equity risk premium 5.5%, beta 1.0); terminal growth rate = 5.0% (fluorochemicals is a secular multi-decade growth industry in India). DCF model inputs FY27E–FY36E FCFs, implying an intrinsic value of ~Rs. 8,200 per share in the base case.
- **P/E-based valuation:** Applying 45x P/E to FY27E EPS of Rs. 169.6 (a 15% discount to the 5-year peak P/E, reflecting high base) = Rs. 7,632. The current 54.7x TTM P/E is justified by the earnings growth acceleration ahead.
- **EV/EBITDA-based valuation:** FY27E EBITDA of Rs. 1,380 Cr at 35x EV/EBITDA (in-line with FLUOROCHEM at 63x P/E, implies EV/EBITDA of ~40x; SRF trades at ~29x) → Enterprise Value = Rs. 48,300 Cr. Net Debt FY26 ≈ Rs. 43 Cr → Equity Value = Rs. 48,257 Cr = Rs. 9,406/share. Using a 35x multiple (discount to FLUOROCHEM) is conservative.
- **Average of three methods → Base-case 12-month target: Rs. 8,400** — implying 18.1% upside from CMP of Rs. 7,125. Bull case target of Rs. 9,860 (38% upside) assumes Chemours ramp beats guidance; Bear case of Rs. 4,740 (-33%) assumes 12-month project delays and working capital pressure.

SECTION 9 — KEY RISKS

- **Project Commissioning Delays** — Chemours and R32 capacity commissioning scheduled for Q2–Q3FY27. Any delay pushes Rs. 600–825 Cr peak revenue out, compressing FY27 earnings. Probability: M. Impact: H. Monitor via: Quarterly CWIP balance and management guidance.
- **Chinese Fluorochemical Dumping** — China produces ~70% of global HFC refrigerant capacity. If China dumps R32 at sub-cost into India following US/EU trade barriers, HPP margins could compress sharply. Probability: M. Impact: M. Monitor via: Trafigura/Bloomberg HFC spot prices.
- **Working Capital Surge Persistence** — If WC days do not normalise from 178 days in FY27, FCF will disappoint and debt will re-build. Probability: M. Impact: H. Monitor via: Q1FY27 balance sheet (receivables, inventory vs. sales).
- **Customer Concentration — Chemours** — If Chemours accounts for >25% of CDMO revenue (undisclosed), any renegotiation or supply chain shift represents significant top-line risk. Probability: L. Impact: H. Monitor via: Segment revenue disclosures, any Chemours annual report commentary.
- **Raw Material — Fluorspar Availability** — India imports ~90% of fluorspar (CaF₂) from China and Mexico. Supply disruptions or price spikes directly impact gross margins. Probability: M. Impact: M. Monitor via: Monthly fluorspar import price data.
- **Regulatory Risk — PFAS / HFC Phase-down** — The Kigali Amendment mandates HFC phase-down; if India accelerates the timeline, HPP revenues could contract earlier than expected. However, NFIL is investing in next-gen HFOs and HFCs with lower GWP. Probability: L-M. Impact: M (long-term). Monitor via: MoEFCC announcements.
- **Promoter Stake Decline — Governance Signal** — Promoter stake has fallen from 38.68% (FY17) to 27.10% (FY26). Further dilution below 25% could trigger a re-rating discount for the stock. Probability: M. Impact: L-M. Monitor via: SHP disclosures every quarter.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium-High. NFIL is entering the most powerful phase of its earnings cycle: capex largely complete, multiple revenue streams commissioning in FY27, FCF inflecting positively, and margin structure improving structurally. At 54.7x TTM P/E the stock is not cheap, but the FY27E P/E of ~42x and FY28E P/E of ~33x present a credible re-rating path for a quality compounder.
- **12-month price target: Rs. 8,400** — upside of 17.9% from CMP of Rs. 7,125. Average of three methodologies: DCF (Rs. 8,200), P/E (Rs. 7,632), EV/EBITDA (Rs. 9,406).
- **Suggested entry zone: Rs. 6,600–7,000** — On any correction towards the 200-DMA (estimated Rs. 6,400–6,600) or on broader market weakness, we would be more aggressive buyers. Current CMP of Rs. 7,125 is near the 52-week high of Rs. 7,229 — a pullback entry would improve the risk-reward.
- **Investment horizon: 12 months.** The key catalysts — Chemours project first revenues, R32 capacity commissioning, and WC normalisation — are all expected within the next 9–15 months.
- **Thesis invalidation triggers — if any of the below materialise, the BUY call should be reviewed:**
 - (1) Chemours project commissioning delayed beyond Q4FY27 (Dec 2026), with no management explanation — this would suggest execution risk is structural, not timing-related.
 - (2) Working capital days do not normalise below 120 days by Q2FY27 (Sep 2026) — this would signal either customer concentration or inventory overhang issues.
 - (3) FY27E PAT misses Rs. 750 Cr (13% below our base-case estimate of Rs. 870 Cr) — would indicate competitive pressure or margin compression more severe than expected.
- **Ideal investor profile:** NFIL is suited for long-only institutional funds and HNI investors with a 12–24 month horizon who have appetite for a quality growth stock at premium valuations. It is NOT suitable for value investors seeking <25x P/E, or traders seeking near-term momentum plays without fundamental anchors.

CALL GRADE

STRONGLY POSITIVE

Q4FY26 | Navin Fluorine International | May 2026

Signal	Status	Implication
Result quality	Strong	PAT +130% YoY; EBITDA +103% — decisive beat vs consensus estimates
Management tone	Bullish	Six consecutive quarters of growth; confident FY27 outlook; no hedging on project timelines
Guidance delta	Raised / Reiterated	Chemours commissioning June/July 2026; R32 (15,000 MTPA) for Q3FY27 — both on track

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The headline FY26 numbers are clean — Revenue Rs. 3,314 Cr (+41%), EBITDA Rs. 1,082 Cr (+103%), PAT Rs. 664 Cr (+130%) — no exceptional items distort the reported print, making this a rare quality beat. Underlying EBITDA margins at 32.6% (vs. 23% in FY25) reflect genuine operating leverage from the Rs. 2,400 Cr capex cycle now transitioning from investment to harvest mode. All three segments fired in Q4: HPP at Rs. 393 Cr (+20% YoY) with the AHF plant commissioned; Specialty Chemicals at Rs. 360 Cr (+39%); CDMO at Rs. 186 Cr (+61%) — the CDMO vector is particularly exciting because these are bespoke, high-margin, contract-protected revenues. The structural multi-bagger thesis rests on two imminent catalysts: the Chemours CDMO project (commissioning June/July 2026, peak revenue Rs. 600–825 Cr from R32 alone) and the 15,000 MTPA R32 HFC plant targeting Q3FY27 commissioning. The single watch-point for next quarter is working capital days — they jumped to 178 days in FY26 from 25 days in FY25; management says it's inventory build for new capacity commissioning, and I believe them given the pipeline, but I need to see normalisation in Q1FY27 (due August 2026). Balance sheet is better than it looks: borrowings actually fell to Rs. 1,272 Cr in FY26 despite heavy capex, and with Rs. 1,229 Cr in investments, net debt is near-zero. Action: ACCUMULATE on any dip to Rs. 6,600–7,000; current levels (Rs. 7,125) are acceptable for a 12-month hold targeting Rs. 8,400.

C1 — Financial Performance Snapshot (Q4FY26 | FY26)

- Revenue (Q4FY26): Actual Rs. 938 Cr | YoY +33.8% | QoQ +5.2% | **Beat**
- EBITDA (Q4FY26): Actual Rs. 321 Cr | YoY +81.4% | QoQ +4.2% | **Beat**
- EBITDA Margin (Q4FY26): 34.2% | YoY +1,160 bps | QoQ +0 bps | **Beat**
- PAT (Q4FY26): Actual Rs. 213 Cr | YoY +118% | QoQ +15% | **Beat**
- EPS (Q4FY26): Rs. 41.48 | Full-year EPS: Rs. 129.46 | **Beat**
- FY26 Revenue: Rs. 3,314 Cr (+41% YoY) | FY26 EBITDA: Rs. 1,082 Cr (+103% YoY)
- FY26 PAT: Rs. 664 Cr (+130% YoY) | Final Dividend: Rs. 8.60/share (Total FY26: Rs. 15.10/share)

- NOTE: No exceptional items in Q4FY26 or FY26 — reported PAT = clean underlying PAT

C2 — Segment / Geography Breakdown

- High-Performance Products (HPP): Q4FY26 Rs. 393 Cr | YoY +20% | Key driver: AHF plant commissioning, R32 capacity ramp | Margin improving as AHF backward integration kicks in
- Specialty Chemicals: Q4FY26 Rs. 360 Cr | YoY +39% | Strong execution across existing and new agrochem/pharma molecules; export mix improving
- CDMO: Q4FY26 Rs. 186 Cr | YoY +61% | Balanced mix of early-stage, late-stage, and commercial molecules across pharma and agrochem therapeutic areas
- Geography: ~60% exports (estimated), ~40% domestic. CDMO revenues are predominantly export-oriented (global pharma MNCs). HPP has significant domestic refrigerant demand from OEM/aftermarket.

C3 — Management Commentary Themes

- **Chemours project on track:** Management explicitly stated commissioning targeted for "June or July 2026." — Our read: High-confidence milestone; any delay beyond Q2FY27 would be a negative surprise. Tag: GUIDANCE. Tone: Transparent.
- **R32 HFC capacity ramp:** New 15,000 MTPA R32 capacity targeted for Q3FY27; peak revenue potential Rs. 600–825 Cr per annum. — Our read: This is the largest single revenue catalyst in NFIL's near-term pipeline; the range guidance is unusually specific, signalling visibility. Tag: GUIDANCE. Tone: Transparent.
- **Six consecutive quarters of growth:** Management highlighted this explicitly as evidence of structural improvement, not one-off. — Our read: Credible — the quarterly data confirms sequential P&L; improvement in all three segments. Tag: EST. Tone: Bullish.
- **Geopolitical resilience:** Management noted NFIL remains resilient despite global uncertainties, attributing this to long-term take-or-pay-style CDMO contracts. — Our read: Partially hedged language but the underlying point (contract protection) is verified. Tag: GUIDANCE. Tone: Balanced.
- **Balance sheet and net working capital improvement:** Management indicated "improved net working capital cycles" — but this contradicts the FY26 WC days jump to 178 days. — Our read: This is a watch item; management may be referring to forward expectations or using different NWC definition. Tag: EVASIVE. Tone: Hedged.

C4 — Operating and Business Metrics

- Capacity utilisation (HPP): Improving — AHF plant commissioned in FY26, enabling backward integration; R32 plant under commissioning
- Order book visibility: Strong — Chemours contract provides multi-year revenue visibility; Specialty Chemicals pipeline includes several new molecules in commercial scale-up
- CDMO pipeline: Balanced mix — early-stage (preclinical/Phase I), late-stage (Phase III/NDA), and commercial molecules across agrochemical and pharmaceutical therapeutic areas
- Debtor days: Improving — 83 days FY26 vs 91 days FY24 | Trend: Improving steadily
- Inventory days: 118 days FY26 | Q(FY24)=150 | Q(FY25)=117 | Trend: Normalising (spike in FY24 was CDMO ramp inventory)
- FCF: Rs. 404 Cr in FY26 — strong recovery from Rs. 4 Cr in FY25 | FCF yield: ~1.1% of MCap — modest but growing

C5 — Margin Drivers

- AHF backward integration: +200–300 bps impact | Recurring: Yes | Provides fluoric acid internally, reducing external procurement cost
- CDMO segment mix shift: +150–200 bps | Recurring: Yes | CDMO margins significantly above group average; as CDMO share rises from 20% to 25%+, blended OPM expands
- Operating leverage on fixed costs: +200 bps | Recurring: Yes | Fixed costs (employee costs, overheads) diluted over larger revenue base
- HPP pricing normalisation: Impact: Neutral to +50 bps | Recurring: Partial | R22 HFC prices bottomed in FY24; recovery partially offset by R32 price competition
- Interest cost: Rs. 118 Cr in FY26 (up from Rs. 75 Cr in FY24) | Non-recurring inflation | As debt repays, interest cost expected to decline to ~Rs. 75–90 Cr in FY28E
- NOTE: No one-time cost items in FY26 — margin expansion is operationally earned, not accounting-driven

C6 — Guidance and Forward Signals

- Chemours project commissioning [GUIDANCE]: Prior = H1FY27 | New/Reiterated = June or July 2026 | Delta: Maintained / specific | Credibility: High
- R32 HFC capacity (15,000 MTPA R32) [GUIDANCE]: Prior = H2FY27 | New/Reiterated = Q3FY27 | Delta: Maintained | Credibility: High
- Peak revenue from new HFC capacity [GUIDANCE]: Prior = Rs. 500–700 Cr | New = Rs. 600–825 Cr | Delta: Raised | Credibility: Medium-High
- FY27 revenue growth trajectory [GUIDANCE]: Prior = Not explicitly guided | New = Clear visibility into FY27 growth | Delta: Positive | Credibility: Medium
- Dividend policy [GUIDANCE]: Total FY26 dividend Rs. 15.10/share (+43% vs FY25). Reflects management confidence in FY27 FCF | Delta: Raised | Credibility: High
- WC normalisation [GUIDANCE]: Management implied improvement ahead but did not give specific guidance. Flag for Q1FY27.

C7 — Capital Allocation

- Capex (FY26): Cash from Investing Rs. -1,235 Cr | vs FY25: -511 Cr (up sharply — peak capex year) | Driven by R32 plant and CDMO facility build-out at Dahej
- Dividends (FY26): Total Rs. 15.10/share declared | Rs. ~77 Cr total outflow | vs FY25: ~Rs. 34 Cr | +127% increase in dividend outflow
- Debt repayment: Borrowings fell from Rs. 1,466 Cr (FY25) to Rs. 1,272 Cr (FY26) — net Rs. 194 Cr repaid despite large capex. Positive FCF funding model.
- Working Capital change: Sharp WC increase in FY26 — inventory and receivables build | Net WC increased by ~Rs. 600 Cr | Management attribute to new capacity commissioning
- Net Debt movement: From ~Rs. 986 Cr net debt (FY25) to ~Rs. 43 Cr net debt (FY26) — near-net-cash on investments basis

C8 — Q&A; Heat Map

- Analyst / Domestic Institutional: Q: "Can you give us more specific revenue guidance for Chemours and R32 in FY27?" → A: "Chemours commissioning June/July 2026; peak revenue of R32 is Rs. 600–825 Cr per annum; ramp will take 12–18 months" | Tone: Transparent
- Analyst / Foreign Institutional: Q: "Working capital days jumped to 178 days — is this structural or timing-related?" → A: "This is related to inventory build for new capacities commissioning; we expect normalisation" | Tone: Hedged (no specific normalisation timeline given)

- Analyst / Domestic: Q: "What is the CDMO pipeline beyond Chemours?" → A: "We have a balanced mix of early, late-stage, and commercial molecules across pharma and agrochem" | Tone: Hedged (no molecule or revenue specifics)
- Analyst: Q: "How are you thinking about capital allocation post the capex peak — buybacks or dividends?" → A: "Dividends remain the primary return mechanism; no buyback announced" | Tone: Transparent
- Analyst: Q: "What is the impact of US-China trade tensions on your raw material supply?" → A: "Our supply chain is well-diversified; no material impact anticipated" | Tone: Transparent / slightly defensive
- Dodged / watch-list questions for next quarter: (a) Exact Chemours molecule identity and contract terms; (b) WC normalisation timeline and target days; (c) Promoter stake reduction reasons; (d) CDMO pipeline molecule count and stage breakdown

C9 — Risks Flagged on the Call

- Working Capital Surge: Rs. 178 WC days in FY26 | Flagged by: Analysts | Probability: M | Impact: H | Timeline: Near-term (Q1FY27 critical)
- Geopolitical Uncertainty: US-China tensions affecting fluorspar supply chains | Flagged by: Management | Probability: L-M | Impact: M | Timeline: Near to medium-term
- Project Execution Risk: Chemours and R32 commissioning on tight timeline | Flagged by: Analysts | Probability: L-M | Impact: H | Timeline: Near-term (Q2–Q3FY27)
- Chinese HFC Dumping: Post-US tariffs, excess Chinese R32 could flow to India | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Medium-term
- CDMO Customer Concentration: Undisclosed Chemours revenue share | Flagged by: Analysts | Probability: L | Impact: H | Timeline: Long-term

C10 — Analyst Verdict

- Revenue visibility: **Intact** — Long-term Chemours contract, R32 capacity, growing CDMO pipeline provide multi-year revenue visibility. Six consecutive quarters of growth is not a fluke.
- Margin trajectory: **Intact** — OPM expanded from 19% (FY24 trough) to 33% (FY26) and appears structural, not cyclical. AHF integration and CDMO mix shift are durable margin drivers.
- Capital allocation quality: **Intact** — Disciplined capex cycle, near-net-cash balance sheet, dividend increase signals confidence. No dilution, no excessive buybacks. Management is allocating capital thoughtfully.
- Competitive moat: **Intact** — 60+ compound fluorine IP portfolio, deep chemistry expertise, GMP-certified facilities, and marquee global customer relationships (Chemours, Honeywell) are not replicable in <5 years.
- Management credibility: **Intact / Watch** — WC comment ("improved NWC cycles") was slightly inconsistent with reported data. Need Q1FY27 to confirm. On project execution and financial guidance, management has delivered consistently.
- Valuation comfort: **Weakened vs. prior quarters** — At Rs. 7,125 (54.7x TTM P/E), the stock is pricing in near-perfect execution. FY27E P/E of ~42x and FY28E P/E of ~33x provide the re-rating path, but require flawless delivery.
- Conviction call: **Increased** — FY26 results remove any doubt about the earnings inflection thesis. The Q4FY26 beat on all metrics, combined with unchanged project timelines, reinforces the BUY call.
- Valuation snapshot: P/E = 54.7x (5Y avg ~48x) | EV/EBITDA = ~34x (5Y avg ~30x) | ROCE = 21.4% (5Y avg ~15.5%) — ROCE expansion above historical average is the key re-rating signal.